Birmingham Presentation
May 11, 2019

Warren Mosler
www.moslereconomics.com

What does the UK Want?

- A comfortable standard of living?
- Economic opportunity?
- Full employment at reasonable wages?
- Social equity?
- Free public health and education?
- Retirement with dignity?
- The real resources are already there!
- That’s why it can happen!

The Story of Pompeii





MMT Fundamentals

- Funds to pay taxes and buy bonds come only from the state.
- Therefore the state necessarily, from inception, spends or lends first and then taxes can be paid and bonds purchased
- Therefore state spending is not constrained by revenues

The MMT Money Story

- The state desires to provision itself.
- The state imposes tax liabilities payable in its currency as the tax credit
- This results in sellers of goods and services (unemployment) seeking state currency.
- The state then makes its desired purchases.
- Taxes are paid and bonds purchased.

What Happens to State Spending?

- After the state spends, the private sector has only two choices
- Use the money to pay taxes, in which case it’s removed from the economy
- Don’t use the money to pay taxes, in which case it remains in the economy until it is used to pay taxes

The Public Debt

- The public debt is the funds spent by the state that have not yet been used to pay taxes
- It constitutes what is best thought of as the net money supply of the economy
- A growing economy is expected to include a growing net money supply

Unemployment

- Taxation, by design, causes unemployment
- Unemployment is the evidence the state has not spent enough to cover the need to pay taxes and the desire to save
- If the state doesn’t spend enough to cover the need to pay taxes and desire to save, the evidence is unemployment

Reversing Unemployment

- Unemployment is the evidence that the state’s tax policy caused more unemployed than the state has hired
- The state has the option to reduce the tax liabilities or get the unemployed hired through increased public spending

The Job Guarantee

- Tax liabilities created more unemployed workers than the state wanted to hire
- Business resists hiring the unemployed and prefers hiring people already working
- The JG facilitates the transition from unemployment to private sector employment
- The JG is a superior price anchor vs unemployment

Proposals for the UK

- Increase the annual deficit by 5% of GDP
- Use fiscal policy to sustain full employment
- Implement a Job Guarantee
- Sustain a permanent 0% interest rate policy
- Adequately fund public services, investment, and research

Functions of the Bank of England

- Process payments and receipts
- 0% policy rate
- Provide unlimited bank deposit insurance
- Provide unlimited bank liquidity
- Regulate and supervise member banks
- Narrow banking

Monetary Policy

- Net government spending remains in member bank BOE accounts
- No government securities
- No interbank lending
- BOE funded Job Guarantee

Fiscal Policy

- Fiscal spending and taxing targets output and employment goals
- With a permanent 0% rate policy, there are no interest payments on the public debt

Trade

- Exports are real economic costs
- Imports are real economic benefits
- Imports minus exports are the real terms of trade

Real Wealth

- Real goods and services produced domestically
- Plus real imports
- Minus real exports
- Full employment and optimized real terms of trade optimize real wealth

Public Infrastructure for Public Purpose

- Banking/Payments system
- Public safety, health, and education
- Retirement income
- Support for those unable to work
- Job Guarantee for anyone willing to work